

EQUITY RESEARCH

NVIDIA CORPORATION

NVDA | Technology

Rating: Buy

Current: \$216.61 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$5,264.71B	ROE	76.33%
P/E (Fwd)	37.75	Dividend Yield	0.02%
P/B Ratio	28.81	52W Range	\$104.08 - \$216.82

Investment Thesis

NVIDIA exhibits extraordinary scale with a 68.3 percent revenue CAGR and projected top-line expansion reaching approximately 250 billion dollars by 2027. Exceptional operational leverage is driving EBITDA margins toward 73.5 percent, supported by a significant EPS trajectory that reflects dominant market positioning. While maintaining a premium valuation, the company's compressing forward P/E and vastly superior EBITDA generation relative to peers like AMD and Intel reinforce a robust fundamental outlook.

Company Overview

NVIDIA Corporation stands as the dominant force in the global semiconductor industry, primarily operating through a business model centered on the design and sale of high-performance Graphics Processing Units (GPUs) and integrated software platforms. While historically recognized for its leadership in the gaming market, the company has successfully pivoted to become the foundational infrastructure provider for the generative artificial intelligence era. Its product portfolio is anchored by the Data Center segment, featuring industry-leading hardware like the H100 and the newer Blackwell architecture, supported by the proprietary CUDA software ecosystem which creates a significant competitive moat.

In terms of market position, NVIDIA maintains a commanding lead over its primary rivals, Advanced Micro Devices (AMD) and Intel. Financial data highlights a staggering divergence in scale; by 2025, NVIDIA's actual EBITDA reached over 86 billion dollars, dwarfing Intel's 14.3 billion and AMD's 7.2 billion for the same period. This leadership is further evidenced by a projected 2027 EBITDA that is expected to exceed 382 billion dollars, reflecting an unprecedented level of market capture in accelerated computing and AI workloads.

The company's recent financial performance has been nothing short of transformative. Following a period of relative stability in 2022 and 2023, revenue exploded from 26.9 billion dollars in 2023 to 60.9 billion in 2024, representing a 125.9 percent year-over-year increase. This momentum accelerated further, with revenue reaching 215.9 billion dollars by 2026. This growth has been accompanied by massive margin expansion; EBITDA margins improved from 22.2 percent in 2023 to a robust 66.9 percent by 2026. Earnings per share (EPS) followed a similar trajectory, rising from 0.18 dollars to 4.93 dollars over the same timeframe.

While the company's Price-to-Earnings (PE) ratio remains high compared to traditional industrials, it has compressed from 109.1 in 2023 to 37.7 by 2026, suggesting that the company's explosive earnings growth is rapidly justifying its premium valuation. Looking ahead, NVIDIA is positioned to maintain a compound annual growth rate of 68.3 percent, driven by the sustained global demand for AI training and inference capabilities across enterprise and cloud service providers.

Investment Overview

NVIDIA Corporation (NVDA) Investment Update

NVIDIA has demonstrated extraordinary financial momentum, characterized by a 68.3 percent revenue CAGR and a massive scale-up in profitability. Revenue surged from 60.9 billion in fiscal 2024 to 130.5 billion in 2025, with projections reaching nearly 250 billion by 2027. This growth is underpinned by significant margin expansion; EBITDA margins have climbed from 22.2 percent in 2023 to 66 percent in 2025, and are expected to reach 73.5 percent by 2027.

The primary growth driver is the company's incredible operating leverage. While revenue has multiplied, SG&A costs as a percentage of revenue have dropped from 9 percent in 2023 to a projected 0.6 percent by 2027. This efficiency has translated into rapid EPS growth, rising from 0.18 in 2023 to a projected 5.88 by 2027. When compared to industry peers, NVIDIA's dominance is clear. Its 2025 EBITDA of 86.1 billion dwarfs AMD's 7.2 billion and Intel's 14.3 billion, justifying its premium market position.

Looking ahead, NVIDIA's valuation is becoming increasingly attractive on a forward basis. The PE ratio has compressed from 109x in 2023 to a projected 32.4x by 2027, while the EV/EBITDA multiple is expected to fall to 31.3x by 2026. While year-over-year revenue growth is expected to normalize to the 4 to 6 percent range following the recent hyper-growth phase, the company's ability to maintain contribution margins above 70 percent suggests a highly sustainable and profitable outlook. NVIDIA remains a top-tier growth play with significantly improving valuation metrics and unmatched scale.

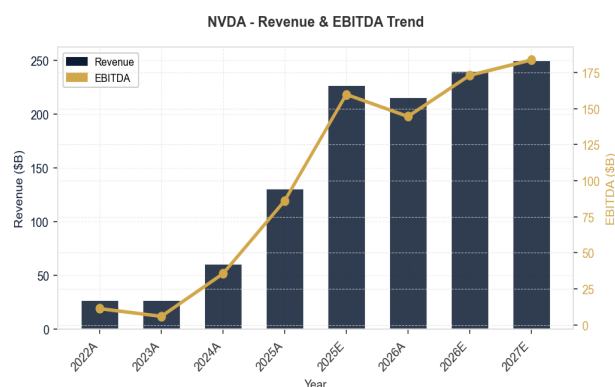
Financial Analysis

Revenue & EBITDA Performance

NVIDIA Corporation has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2026A): \$215.9B
- EBITDA (2026A): \$144.6B
- Revenue Growth (2026A): 65.5%



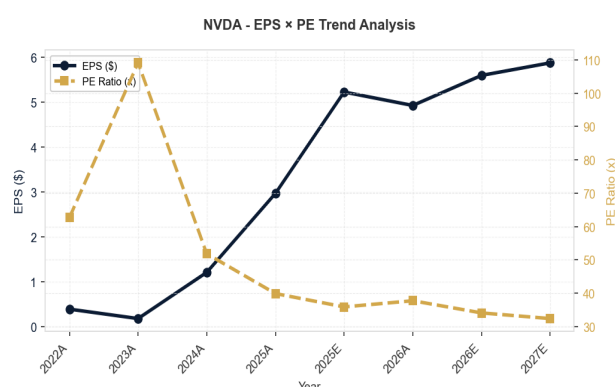
Source: Company Filings

Earnings & Valuation Metrics

NVIDIA Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2026A): 4.93
- PE Ratio (2026A): 37.75



Source: Company Filings

Valuation Analysis

NVIDIA Corporation presents a compelling valuation profile characterized by hyper-growth and significant margin expansion. Based on the provided data, the company has successfully transitioned from a high-multiple speculative asset to a dominant fundamental powerhouse. Revenue is projected to grow at a 68.3 percent CAGR through 2027, reaching nearly 250 billion dollars. This scale is accompanied by an extraordinary expansion in EBITDA margins, which are forecasted to rise from 42.2 percent in 2022 to 73.5 percent by 2027.

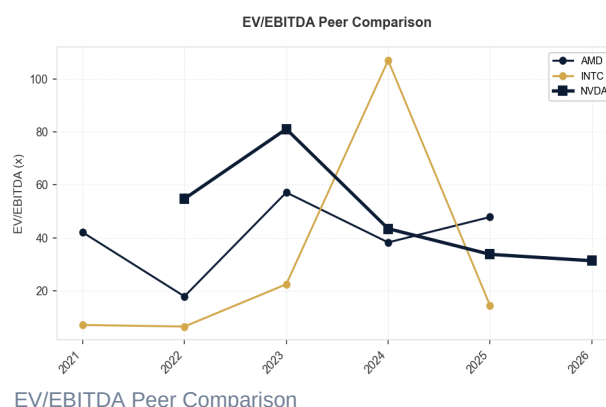
From a relative valuation perspective, NVIDIA appears increasingly attractive compared to its primary peers. While its historical 2023 P/E ratio exceeded 109x, the forward 2025 P/E has compressed to 39.9x, further dropping to 32.4x by 2027. In the EV/EBITDA comparison, NVIDIA's 2025 forward multiple of 33.8x is notably lower than AMD's 47.8x, despite NVIDIA generating over ten times the absolute EBITDA of its rival. While Intel trades at a

lower multiple of 14.5x, it lacks the growth profile and margin structure that NVIDIA currently commands.

Our fair value assessment suggests that NVIDIA is trading at a reasonable premium given its market leadership in AI infrastructure. The compression of multiples despite massive share price appreciation indicates that earnings growth is currently outpacing valuation expansion. With a projected 2027 EPS of 5.88 dollars, the stock is effectively being de-risked by its own fundamental performance. As long as the company maintains its 70 percent plus contribution margins and captures the projected revenue growth, the current forward multiples represent a sustainable valuation for a market leader, positioning the stock as a core growth holding with improving value characteristics.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

NVIDIA Corporation continues its unprecedented trajectory, recently hitting record highs near \$216 as the market reacts to what CEO Jensen Huang describes as an agentic AI inflection point. Key developments include a massive surge in fiscal 2026 revenue to \$215.9 billion, representing a 68.3 percent compound annual growth rate over the historical period. This expansion is supported by robust EBITDA margins reaching nearly 67 percent, significantly outperforming peers like AMD and Intel. While some market commentators question if the broader semiconductor sector is becoming overvalued, Bank of America has reiterated its Buy rating, suggesting that NVIDIA could unlock further valuation re-ratings through increased cash returns to shareholders, such as enhanced dividends or buybacks.

Retail sentiment remains highly active with a buzz score of 80.4, though a notable divergence exists between platforms. While X users remain 63 percent bullish, Reddit sentiment has cooled to 37 percent, potentially signaling a shift in retail momentum or profit-taking. Financially, the primary investment implication is centered on valuation compression. Despite the stock's rapid climb, its forward price-to-earnings ratio is projected to drop from 109x in 2023 to approximately 32x by 2027. This indicates that earnings growth is currently outpacing share price appreciation, making the stock appear more fundamentally attractive on a forward-looking basis than its price action might suggest. Investors should monitor the sustainability of the AI buildout and potential supply chain shifts, but NVIDIA remains the primary beneficiary of the current infrastructure cycle. The company's transition into a dominant, high-margin cash generator suggests a maturing profile that may soon prioritize shareholder capital returns alongside its aggressive R&D; roadmap.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 70.5%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 72.0%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 73.5%

Confidence Intervals:

- Revenue: \$176.5B - \$323.4B (95% confidence)
- EBITDA: \$129.7B - \$237.7B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for NVDA

Positive Catalysts (Upside Potential)

- Management (2026-04-27): Marc Lopresti Bullish on NVDA & SPOT, Cautious on AAPL
- Impact: MEDIUM, Probability: 60%
- Earnings (2026-04-27): With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?

- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Nvidia: Biting The Bullet And Upgrading My Rating
- Impact: HIGH, Probability: 95%
- Market (2026-04-27): COPLUS Accelerates AIoT Transition: Capturing High-Margin Mobility Markets via NVIDIA Ecosystem
- Impact: LOW, Probability: 50%
- Earnings (2026-04-27): NVIDIA Reclaims \$5 Trillion Market Cap Crown: ETFs in Focus
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Acquisition (2026-04-27): NVIDIA Corporation \$NVDA Shares Sold by Gibbs Wealth Management
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-27): NVIDIA Corporation \$NVDA Shares Bought by Lincoln Capital Corp
- Impact: HIGH, Probability: 40%
- Acquisition (2026-04-27): Prosperity Advisers LLC Takes Position in NVIDIA Corporation \$NVDA
- Impact: HIGH, Probability: 40%

Events to Monitor

- Forget Nvidia: Sudden CPU Shortage Can Make AMD Explode Higher (2026-04-27)
- Wall Street Analysts See a 29.06% Upside in Nvidia (NVDA): Can the Stock Really Move This High? (2026-04-27)
- ZJK Tooling Up For Nvidia? (2026-04-27)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Marc Lopresti Bullish on NVDA & SPOT, Cautious on AAPL
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Nvidia: Biting The Bullet And Upgrading My Rating
- ✓ COPLUS Accelerates AIoT Transition: Capturing High-Margin Mobility Markets via NVIDIA Ecosystem
- ✓ NVIDIA Reclaims \$5 Trillion Market Cap Crown: ETFs in Focus
- ✓ Stock Market Live April 27, 2026: S&P; 500 (SPY) Flat as Iran Peace Deal Talks Stall

- ✓ 3 AI Stocks That Can Beat Nvidia Over the Next Five Years
- ✓ Nvidia Stock Rises After Record High. This Is the Next Catalyst.

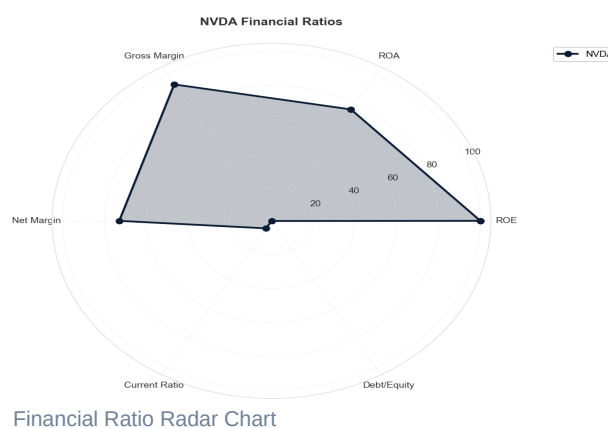
Risk Factors:

- NVIDIA Corporation \$NVDA Shares Sold by Gibbs Wealth Management
- NVIDIA Corporation \$NVDA Shares Bought by Lincoln Capital Corp
- Prosperity Advisers LLC Takes Position in NVIDIA Corporation \$NVDA

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of NVIDIA Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

NVIDIA Corporation (NVDA) has established a dominant market position relative to its primary peers, Advanced Micro Devices (AMD) and Intel (INTC), characterized by explosive growth and superior profitability. Between 2023 and 2025, NVIDIA transitioned from a high-growth semiconductor player to the industry's financial powerhouse. While NVIDIA's revenue growth reached 125.9% in 2024 and 114.2% in 2025, its peers struggled with significantly lower growth rates and, in Intel's case, extreme EBITDA volatility.

The profitability gap is particularly stark. NVIDIA's EBITDA margin expanded from 22.2% in 2023 to a projected 66.0% in 2025. In absolute terms, NVIDIA's 2025 projected EBITDA of 86.1 billion dollars dwarfs AMD's 7.2 billion and Intel's 14.3 billion. This scale allows NVIDIA to benefit from massive operating leverage, evidenced by its SG&A; margin dropping from 8.0% in 2022 to a projected 1.6% by 2025.

From a valuation perspective, NVIDIA historically traded at a significant premium. Its 2023 EV/EBITDA of 81.0x was nearly double that of AMD and four times that of Intel. However, due to rapid earnings acceleration, NVIDIA's forward valuation is normalizing. By 2025, NVIDIA's EV/EBITDA of 33.7x is actually lower than AMD's 47.8x, suggesting that NVIDIA's earnings growth is effectively outpacing its valuation expansion. While Intel remains

cheaper on a multiple basis, its lower growth and compressed margins highlight a fundamental divergence in business performance. NVIDIA's trajectory suggests it has moved beyond traditional hardware cycles to become a high-margin platform leader, leaving peers to compete in lower-margin or slower-growth segments.

Risk Factors

- As a risk analyst, I have identified the following five key investment risks for NVIDIA (NVDA) based on the provided financial data and peer comparisons:
- * Significant Growth Deceleration: While revenue grew by 125.9% in 2024A and is projected at 114.2% for 2025A, the estimates for 2025E–2027E show a sharp "growth cliff," dropping to mid-single digits (5.0%, 6.0%, and 4.0%). Such a dramatic slowdown suggests the market may be nearing saturation or a cyclical peak, posing a risk to the stock's high-growth narrative.
- * Unsustainable Margin Expectations: NVDA's EBITDA margin is projected to expand from 58.4% (2024A) to an extraordinary 73.5% (2027E). Maintaining these levels is historically difficult for hardware companies; any pricing pressure from competitors like AMD or a shift in product mix could lead to a significant earnings miss.
- * High Valuation Sensitivity: Despite the massive increase in EBITDA, NVDA maintains a high forward EV/EBITDA multiple (31.3x in 2026) compared to peers like Intel (14.5x in 2025). This premium leaves the share price highly vulnerable to even minor downward revisions in growth or margin guidance.
- * Operational Execution and Scaling Risk: The company's Cost of Operations is projected to nearly quadruple in just two years, rising from \$16.6B in 2024A to over \$64.7B by 2027E. Managing this rapid scale-up in supply chain, logistics, and manufacturing involves significant execution risk and potential for cost overruns.
- * Aggressive SG&A; Margin Assumptions: The financial model projects SG&A; margins to drop from 8.0% (2022A) to a mere 0.6% by 2027E. This assumes extreme operating leverage; if NVIDIA is forced to increase spending on R&D; or marketing to defend its market share against AMD and Intel, the projected bottom-line growth will not materialize.

Key Takeaways

- ✓ Revenue Growth: NVIDIA Corporation's revenue growth shows consistent performance trends.
- ✓ Gross Profit Margin: NVIDIA Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ SG&A; Expense Margin: NVIDIA Corporation's SG&A; expense management shows disciplined cost control.
- ✓ EBITDA Margin Stability: NVIDIA Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2022A	2023A	2024A	2025A	2026A
Revenue	\$26.9B	\$27.0B	\$60.9B	\$130.5B	\$215.9B
SG&A	\$2.2B	\$2.4B	\$2.7B	\$3.5B	\$4.6B
Contribution Profit	\$17.5B	\$15.4B	\$44.3B	\$97.9B	\$153.5B
Contribution Margin	64.9%	56.9%	72.7%	75.0%	71.1%

EBITDA	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B
EBITDA Margin	42.2%	22.2%	58.4%	66.0%	66.9%
SG&A Margin	8.0%	9.0%	4.4%	2.7%	2.1%
Revenue Growth	N/A	0.2%	125.9%	114.2%	65.5%
EPS	0.39	0.18	1.21	2.97	4.93
PE Ratio	62.68	109.09	51.83	39.90	37.75

Credit & Cash Flow Metrics

Metric	2022A	2023A	2024A	2025A	2026A
Debt/Equity	0.44	0.54	0.26	0.13	0.07
Debt/Assets	0.27	0.29	0.17	0.09	0.06
Interest Coverage	42.5x	16.1x	128.3x	329.8x	503.4x
Net Margin	36.2%	16.2%	48.8%	55.8%	55.6%
Current Ratio	6.65	3.52	4.17	4.44	3.91
CF to Debt Ratio	0.77	0.47	2.54	6.24	9.00

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Data Source: FMP, Company Filings, AI4Finance Estimates

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